



MIGA

Multilateral Investment
Guarantee Agency
WORLD BANK GROUP

Strategic Discussion Document

January 11th 2023

Agenda

- 1 Retrospective: Strong delivery so far on the FY21-23 Strategy in the face of multiple crises
- 2 MIGA's agility, innovation, and leveraging have been key to delivering impact
- 3 The global outlook is daunting, presenting both challenges and opportunities
- 4 There are growth opportunities in Trade Finance and Non-Honoring, including for SOEs
- 5 Timeline for the FY24-26 Strategy and engagement opportunities
- 6 Some questions for discussion

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<i>Development Impact</i>	Av. IMPACT score of 51 ('Good') (FY21-22) & IEG rating of 70% (S+) for 2016-2021
<i>IDA/FCS</i>	29% of issuance (FY21-22) vs. 24% (FY18-20)
<i>Climate finance</i>	27% of issuance (FY21-22) vs. 19% (FY18-20)
<i>Projects supported</i>	Average of 47 (FY21-22) vs. 41 (FY18-20)
<i>Gross Issuance</i>	\$5 billion per year (FY21-22)

1

Private Finance Catalyzed

- Huge leverage: \$1.8B of operating capital supports a gross portfolio of \$24B
- Catalyzed \$11B of reinsurance over FY21-23H1
- Private Capital Mobilized of \$11B over FY21-22
- Paris Alignment begins 7/1/23, supporting ESG finance

2

Innovation

- COVID and Ukraine response programs
- Trade Finance
- Supporting local currency lending (Bogota, Colombia FY22)
- Distributed generation (BBox FY22 and WBG DARES Prog.)
- Capital market solutions (Benban Solar Refi FY22)

3

Partnerships & Leveraging

- Founding member 2X Gender Collaborative
- Deepened One WBG approach (est. 20% of FY21-23 transactions with IFC)
- Enhanced partnerships with MDBs and DFIs
- Common Framework for 3 new and 2 existing trust funds

4

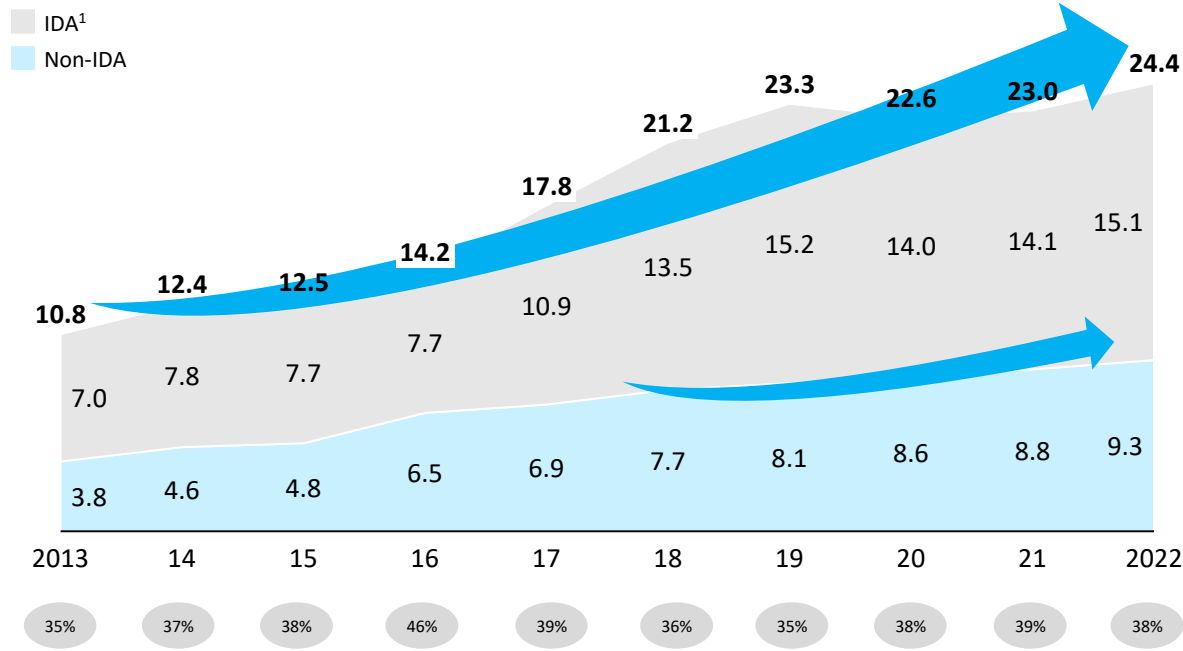
Grew Core Competencies

- Strengthened business development & underwriting capacities
- Comprehensive Risk Management Framework
- Efficient: Cost/Net Premium Income < 60%
- Staff reforms incl. career management, incentives
- 25 new staff for climate finance, gender, IJ, regions

Changing makeup of MIGA's portfolio: more IDA and FCS

MIGA total gross exposure by fiscal year

Billions of dollars, FY13-FY22



Key insights

Annual portfolio growth has continued, despite a declining market for long-term PRI.

Exposure in IDA countries grew to record high of \$9.3B at end FY22 as a result of the continued strategic emphasis on support to IDA/FCS countries. IDA Private Sector Window has played a key role.

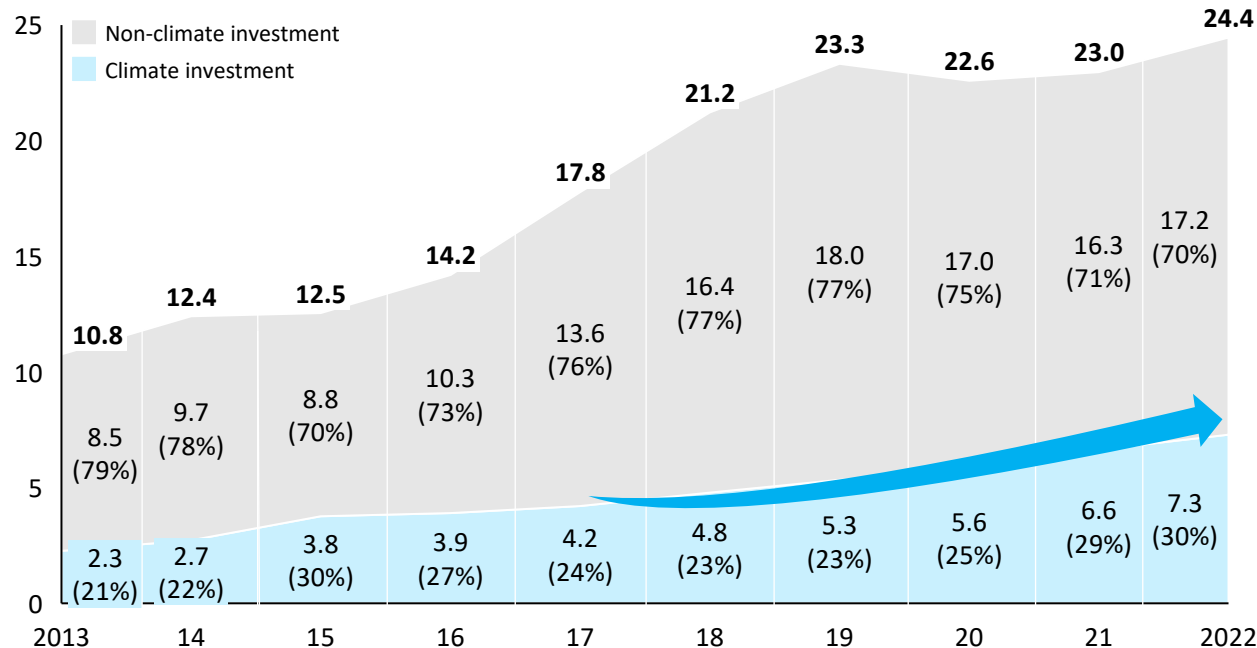
FCS portfolio has grown to a record high of \$2.6B. In FY23, MIGA's FCS pipeline is strong with planned support to Ukraine and Ethiopia among others.

1. Analysis based on IDA17 classification list.

Changing makeup of MIGA's portfolio: more climate finance

Climate finance gross exposure

Billions of dollars, FY13-FY22



Key insights

Climate finance has grown from \$2.3B (21% of total exposure) in 2013 to \$7.3B in 2022, accounting for 30% of total exposure

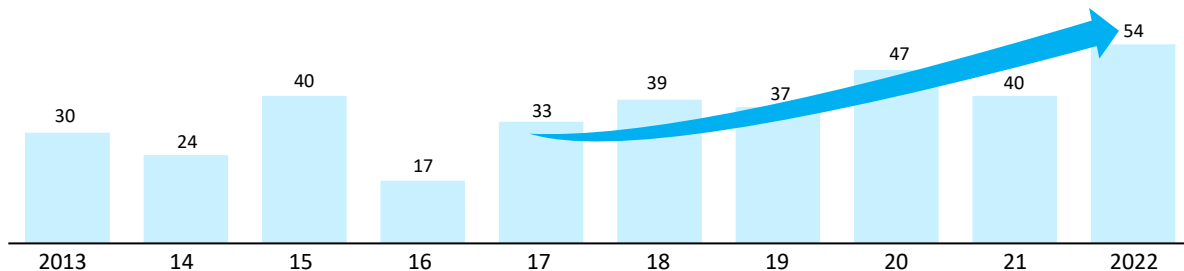
From 2013-2018, over 80% of climate finance was in support of the infrastructure sector, whereas by 2022 climate finance included support for green buildings and financial sectors as well

Climate finance project count has increased by nearly 7x between 2013 and 2022 while total exposure has tripled, indicating smaller average project size for greater stability

MIGA has increased the number of projects and diversified its portfolio

Gross new issuance by project count

FY2013-FY2022

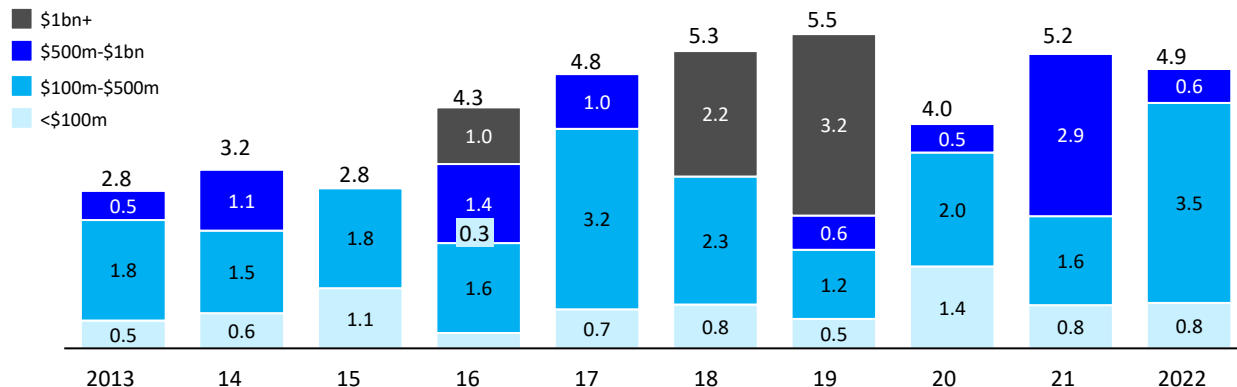


Key insights

The number of projects is trending up: From 2018-2020 the average project count per year was 41. The average project count per year from 2021-2022 was 47.

Gross new issuance by deal size,

USD bn (deal count), FY2013-FY2022



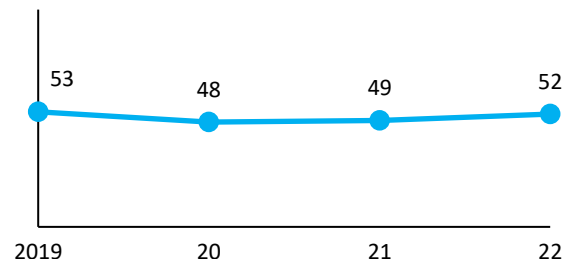
MIGA has maintained issuance levels while diversifying its portfolio with fewer outsized deals.

Greater regional diversification: from 69 client countries in FY18 to 79 client countries today. Reduced regional concentration.

Driving higher development impact remains at the core of MIGA's mission

EX-ANTE

Average IMPACT score by fiscal year



Since 2019, MIGA has deployed the IMPACT system to evaluate the ex ante development impact of each project.

MIGA's targets IMPACT score of >50 on average, which has been met over FY21-FY22.

OUTPUT INDICATORS

\$3.2 billion

Commercial loans enabled by MIGA (includes SMEs and climate finance) from projects supported in FY21-22

16 million

People provided with new or improved electricity access from projects supported in FY21-22

1.7 million

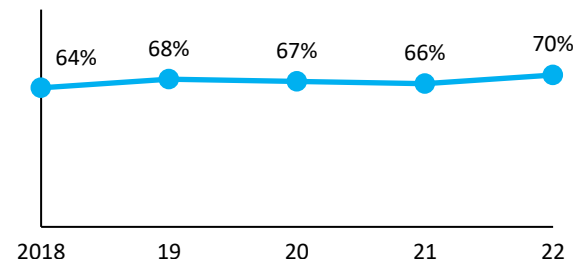
Tonnes CO2 equivalent GHG abated from projects supported in FY21-22

\$1 billion

Annual taxes generated for host governments from projects supported in FY21-22

EX-POST

IEG rating of satisfactory outcomes of MIGA projects (%): trending up



Per IEG, for the latest evaluation period (FY16-FY21):

- 70% of projects were rated Satisfactory or better.
- 72% of projects in IDA countries and 85% of projects in FCS countries were rated Satisfactory or better.

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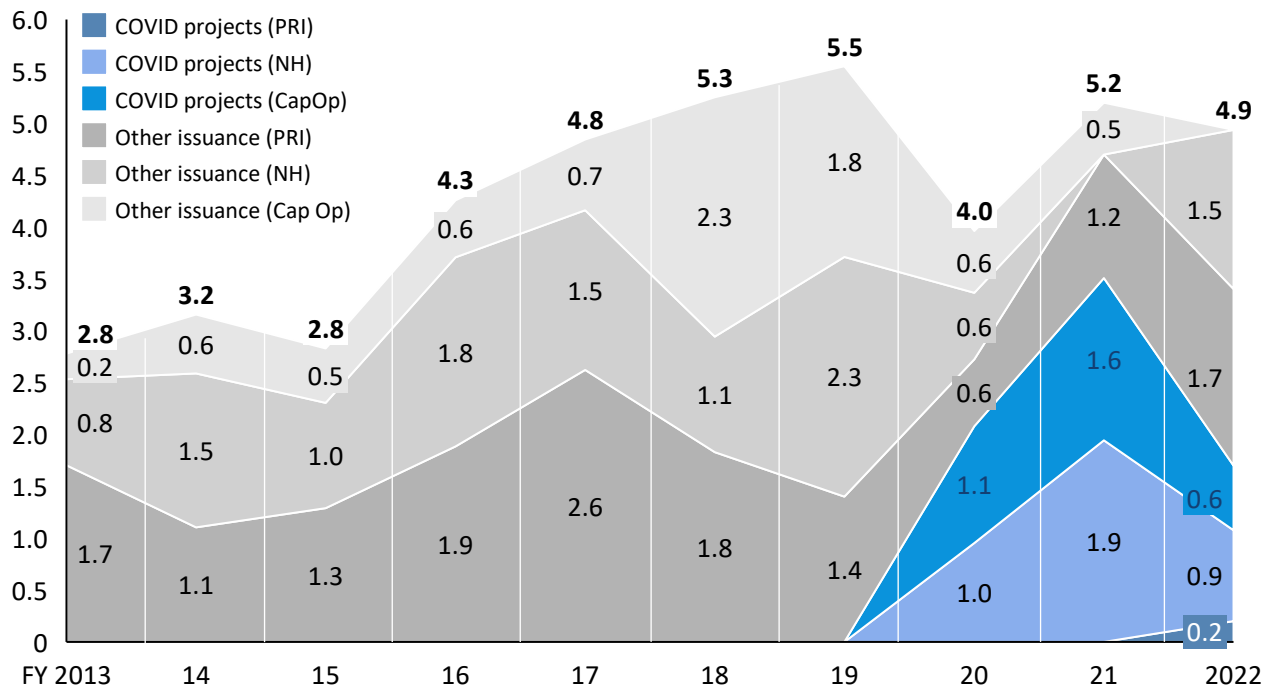
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Agility, innovation, and leveraging have been key to delivering impact

MIGA's COVID response program demonstrates the Agency's agility

COVID-19 response issuance

Billions of dollars, FY13-22



Additional details

As part of the WBG's overall COVID response strategy, MIGA has deployed its credit enhancement and capital optimization programs to support 47 COVID-related projects since 2020, totalling \$7.3 billion in issuance.

MIGA's COVID response included:

- Continued support to Santander Rio as part of the bank's work in allowing for increased supply of credit to the Argentinian economy for COVID-19 relief
- Issued guarantees covering up to \$510 million in loan facilities to provide emergency liquidity to the Panamanian economy and help the country mitigate the effects of COVID-19
- Supported Paraguay's export-oriented sectors throughout the pandemic recovery with guarantees of up to \$101 million
- Helped the Eastern and Southern African Trade and Development Bank alleviate critical impacts from COVID-19 with a focus on food and fuel imports, as well as health care equipment and facilities

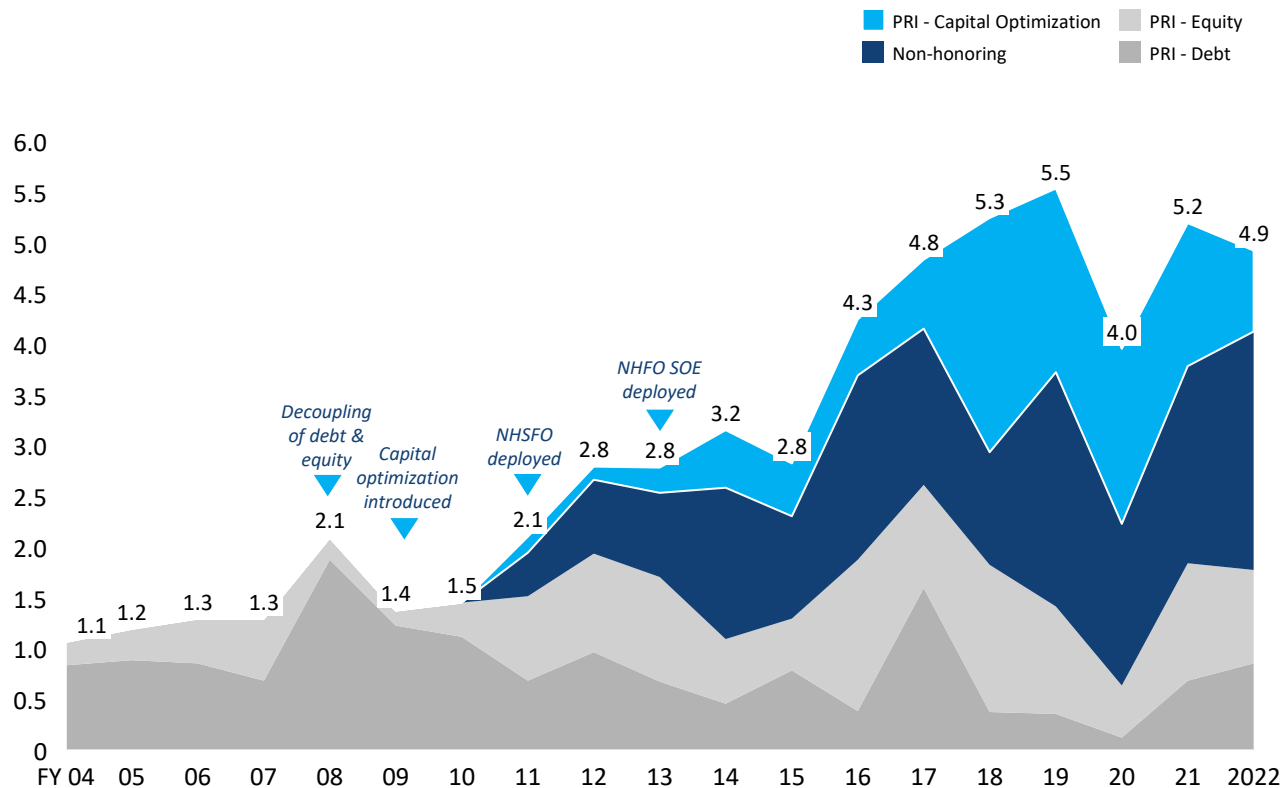
MIGA's proven ability to innovate

Further innovation will remain key to responding to emerging global challenges and crises

Gross issuance provided by MIGA,

Billions of dollars, FY04-FY22

- 1 The introduction of Capital Optimization and Non-Honoring products has been a source of growth for MIGA
- 2 In recent years, Non-Honoring has increasingly become a crisis response tool for better-rated MICs when global financial markets are turbulent
- 3 Further growth will require continued innovation for products, platforms, and programs



Agility, innovation, and leveraging have been key to delivering impact

MIGA's innovations: products, programs, and platforms

FY21-23 Innovations



1. Trade finance

Developing solutions for trade finance alongside regional development banks, export-import banks, and IFC



2. Select local currency lending

Supporting facilities for local currency loans and guarantee investments made in freely convertible local currencies



3. Capital relief

Helping banks and insurance companies manage their Basel & Solvency 2 requirements while also expanding into EMDEs, through capital optimization and other products



4. Off-grid generation: DARES Program

Investigating and innovating application of products to support off-grid energy generation, including the launch of the Distributed Access through Renewable Energy Scale-up program, which aims to help African countries double the pace of access expansion by 2026

Potential Future Innovations



1. Carbon Credits

Supporting the growth of the carbon credit market (under Article 6 of Paris Accord) by underwriting cross-border risks for investors and purchasers



2. Parametric Insurance

Linking existing non-honoring cover with private parametric insurance to provide project-specific catastrophic event cover for a project



3. Liquidity Support Arrangement

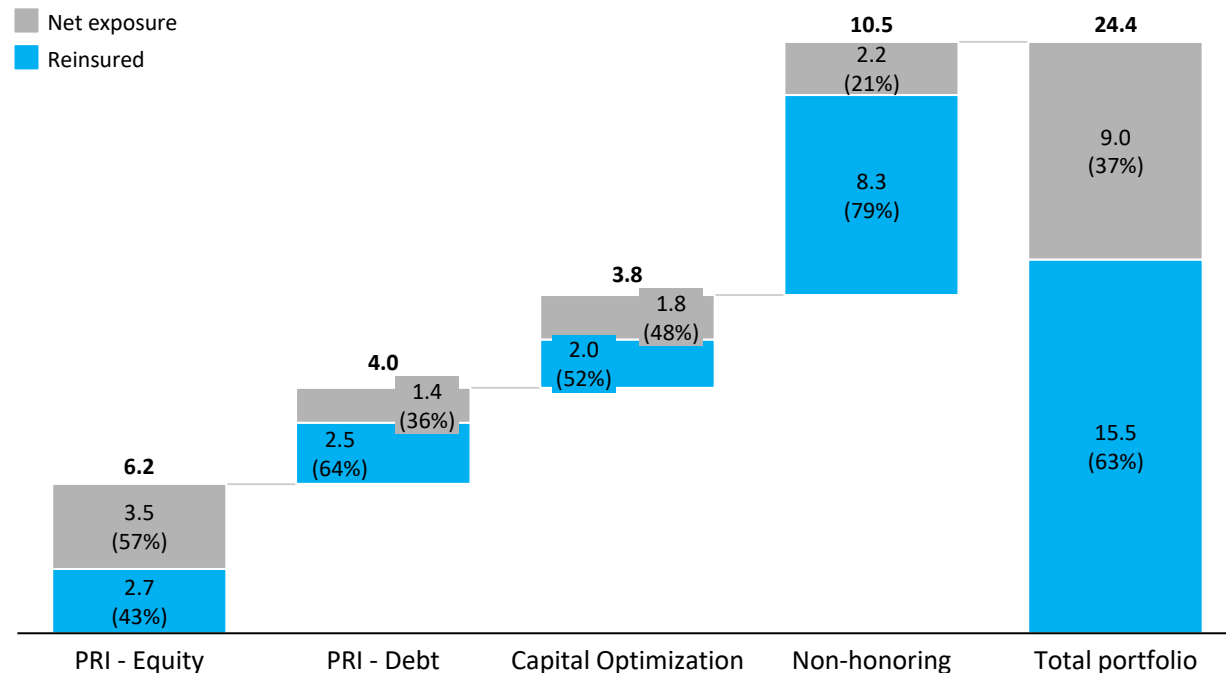
Combining existing MIGA covers (e.g. breach of contract) with a liquidity facility to provide a more comprehensive and impactful product aimed at renewable energy sector

Enormous leverage: with \$1.8 billion of operating capital, MIGA maintains a portfolio of \$24 billion

As of end FY22, 63% of MIGA's overall exposure is reinsured, which maximizes impact from limited capital

MIGA FY22 reinsured and net exposure by product

Billions of dollars, FY22



Key insights

MIGA's strong underwriting capacity, low claims ratio thanks to the WBG halo effect, and disciplined approach to pricing has continued to provide access to private reinsurance markets.

MIGA's use of reinsurance allows for its continued growth while ensuring efficient capital utilization and effective leverage of public and private sector reinsurers.

While MIGA enjoys ceding commission from reinsurance, it does forgo part of the premium, so there are income considerations.

MIGA manages risks that are associated with leveraging the private reinsurance market.

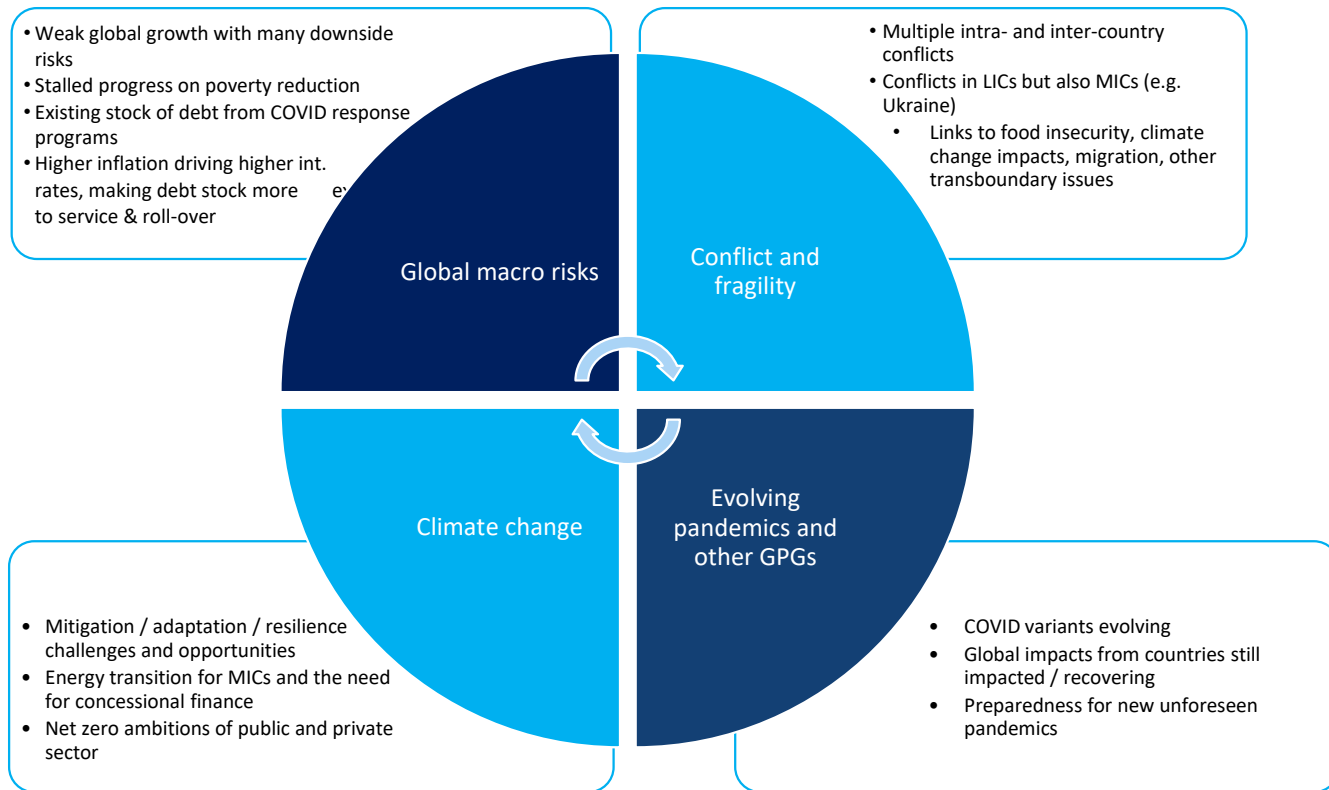
Current use of reinsurance financing is well within the 70% of gross exposure limit set by the Board of Directors. To further mitigate Reinsurance Counterparty Credit Risk, MIGA requires that its private reinsurance partners be rated $\geq A$ by at least two of the four major rating agencies.

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The global outlook is daunting, presenting both challenges and opportunities

Overlapping crises and new challenges in an interconnected world



The global outlook is daunting, presenting both challenges and opportunities

For MIGA's products the overlapping crises present headwinds and tailwinds

MIGA faces stalling FDI and a decrease in the overall PRI market...

- 1 Possible global recession and continued stalling cross-border investment flows to EMDEs (including FDI) limits opportunities for MIGA's traditional products
- 2 Increasing public debt burdens in EMDEs and rising interest rates
- 3 Decline in the overall PRI markets
- 4 Increased DFI competition within sub-investment grade markets, especially IDA/FCS countries
- 5 In the short term, impact to the MIGA pipeline due to 100% Paris Alignment across sectors by 2025 and other changes to authorizing environment

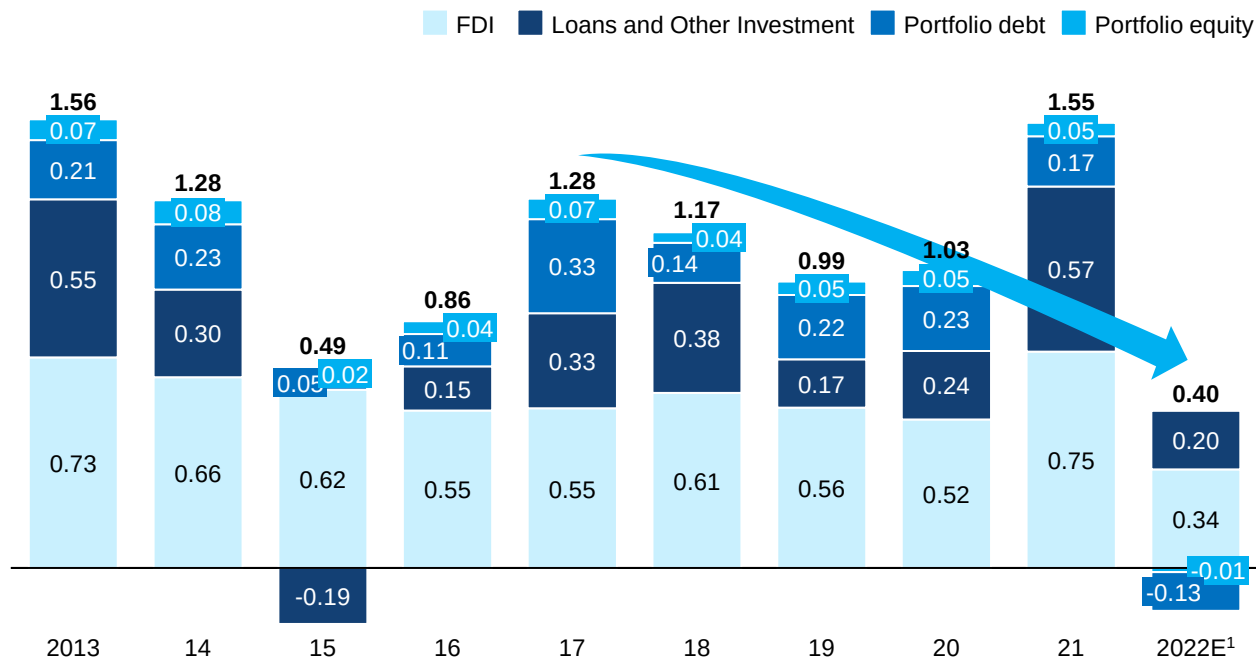
...but heightened risk perception and increased demand for climate finance investment *may* boost demand

- 6 Longer term, increased interest in climate financing opportunities and prioritization of investments with high ESG standards and Paris Alignment
- 7 Heightened risk perceptions due to war in Ukraine, albeit with reinsurance implications
- 8 Uncertainty over the global economic forecast and potential global recession
- 9 Continued need for COVID recovery support as countries contend with both the health and economic fallout
- 10 Continued need for trade finance coverage, especially for low-income countries

Cross-border investment into EMDEs was flat from 2017-2020 and the outlook for 2022 looks negative

The rebound in 2021 was short-lived

Cross-border investment flows to LICs and MICs, trillions of dollars, 2013-2022



Key insights

Pandemic stimulus and a rebound in FDI buoyed total cross-border investment in 2021, but this has collapsed in 2022

Cross-border flows rose to decade-high levels in 2021, driven primarily by a sharp increase in loan inflows; as stimulus funding is pulled back in coming years, flows seem set to return to pre-pandemic levels

Impact of the war in Ukraine and supply chain constraints will depress 2022 cross-border investment

Preliminary data through Q3 2022 shows a drop of ~28% in cross border flows compared to 2020, particularly driven by declines in UMICs

1. Includes 2022 data through Q3

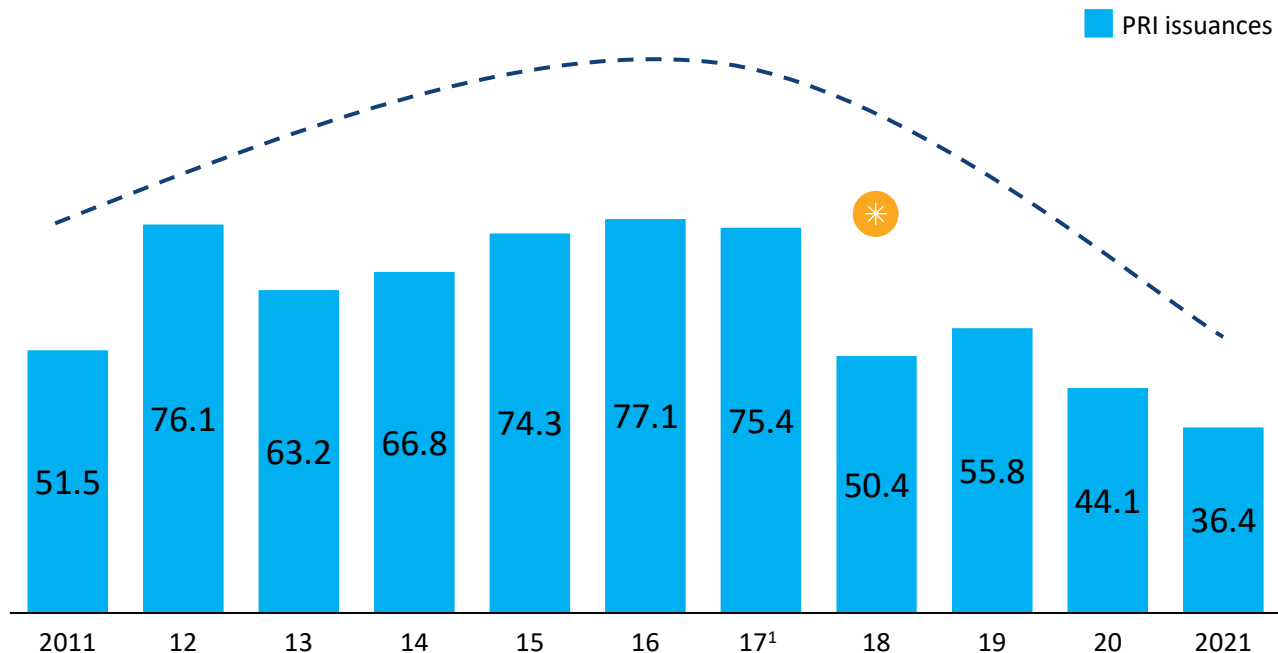
Source: IMF BoP

MIGA has maintained its gross guarantee issuance despite a declining PRI market

Steady decline in overall PRI issuance since 2018, driven by decreased demand for coverage and lower capacity among providers

Annual issuance in PRI market in EMDEs by all Berne Union Members

Billions of dollars, (2011-2021)



Key insights

As greater amounts of investments have gone uncovered, demand for coverage has decreased, leading to a smaller overall PRI market

While total issuance in PRI coverage grew consistently from 2013-2017, recent years have seen a significant downturn driven by decreased demand

Decline in the overall market materially impacts MIGA, requiring that the Agency consider new sources of growth impact

PRI market continue to shrink. However, heightened risk perception from the war in Ukraine *may* increase demand for PRI in the near-term

* Note: Per Berne Union analysis, the significant drop in the PRI market between 2017 and 2018 is a result of both a reduction in issuance from a few major carriers as well as a reporting adjustment from Sinosure. As a result of the reporting adjustment, the market pre-2017 may be overstated.

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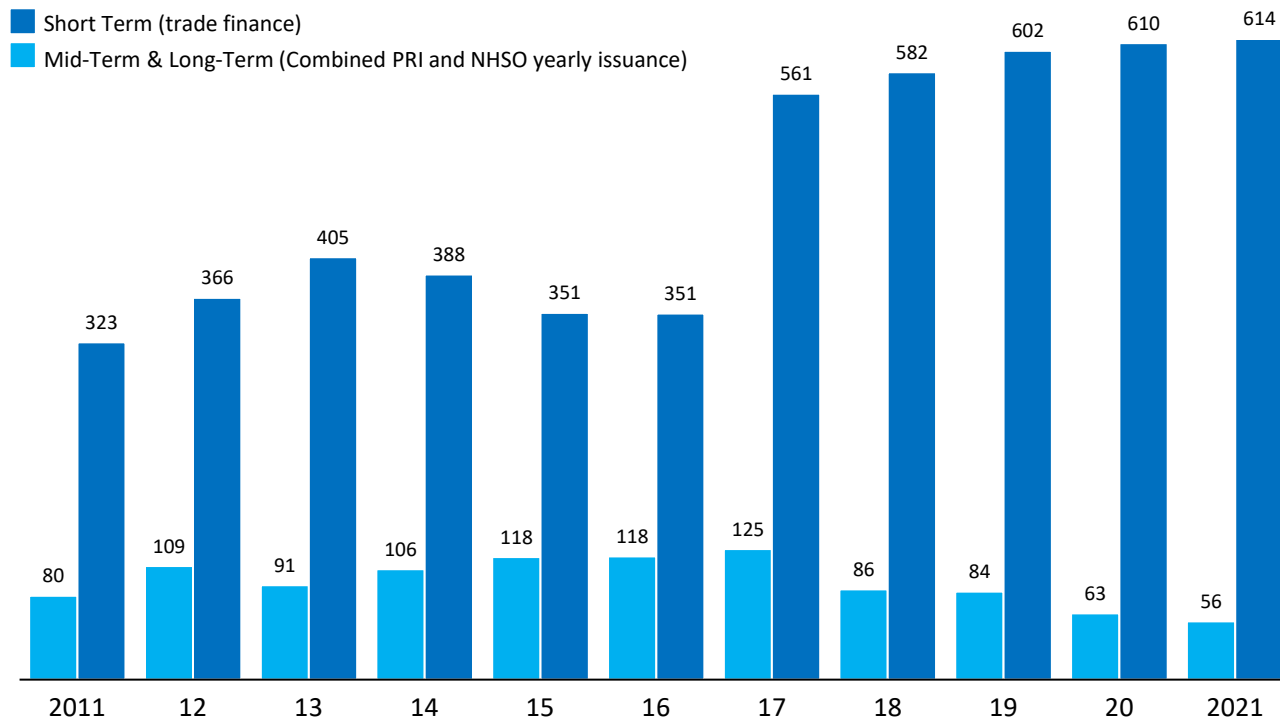
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Growth Opportunity: Trade Finance focused on IDA / FCS

Gaps in coverage are substantial, especially for low-income countries. Trade supports FDI.

Combined mid-term & long-term vs. short-term PRI market growth comparison

Billions of dollars, (2011-2021)



Key insights

The short-term trade finance market has shown strong growth, especially in low-income countries.

While the short-term market is six times larger than that of traditional PRI/NH, gaps in coverage are substantial, especially for low-income countries.

MIGA's continued innovation in this space may be a driver of growth.

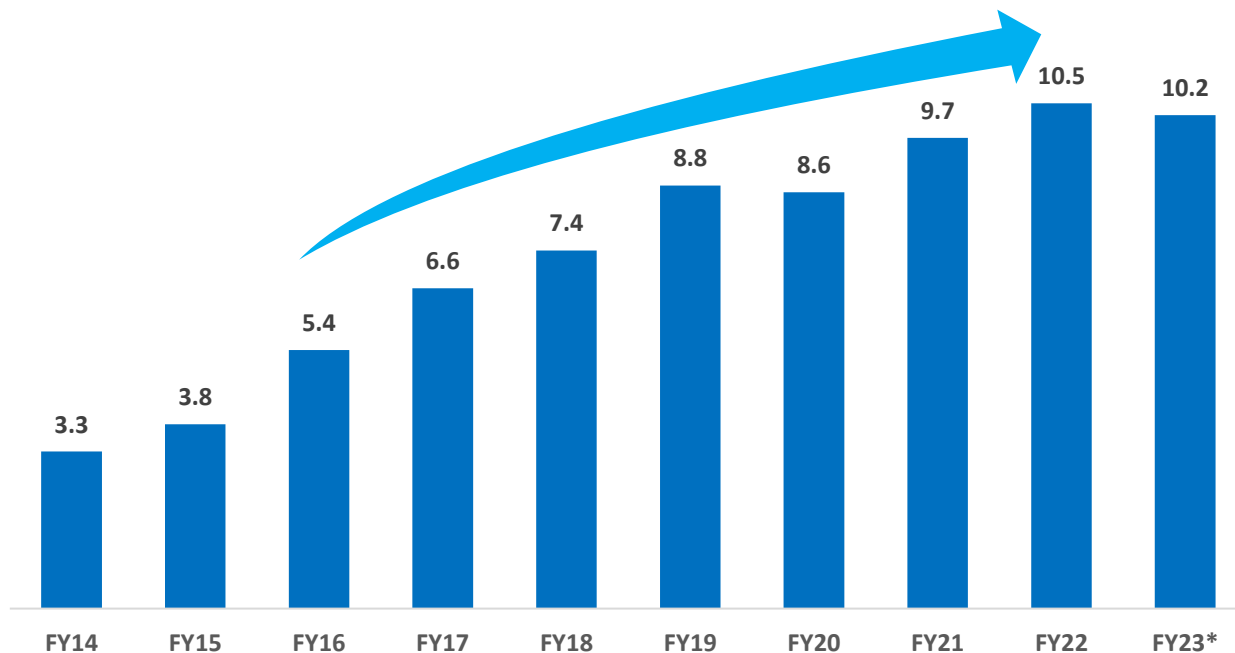
Continued innovation of applications of its trade finance guarantee may allow MIGA to fill a gap in the trade finance market to complement its PRI/NH markets. Trade finance is a precursor to FDI and as such contributes to MIGA's core mission.

Growth Opportunity: Non-Honoring, including for SOEs, buttressed by One WBG approach, tailored pricing

Scaling private financing to support host country investments in gpgs and economic prosperity

Growth of MIGA's Non-Honoring Portfolio

Billions of dollars (FY14-Q1 FY23)



SOURCE: MIGA portfolio

Key insights

MIGA guarantees can bring in commercial banks and institutional investors.

As countries transition away from concessional financing, MIGA guarantees bring in commercial banks and institutional investors to fund programs supporting MSMEs, energy transition, resilient infrastructure, health care, and more.

The One WBG Approach is key to MIGA being able to deliver development impact.

Collaboration with WBG helps MIGA identify host country development priorities and appropriate channels for financing, including sub-sovereigns (e.g. municipalities) and SOEs.

Incentives, including pricing, play a large role in MIGA being able to deliver for our host countries.

Incentives can help direct financing to priority areas (climate finance/GPGs), by providing longer tenors and/or reducing the all-in price of debt. Pricing can also be a constraint on the deployment of MIGA's non-honoring guarantees.

Case Study (1) NHFO-SOE – MIGA-Covered Working Capital Facility (COVID-19 Facility)

PT Perusahaan Listrik Negara (PLN), Indonesia

- ❖ **Project:** Working capital facility for Indonesia's dominating power sector SOE, PLN.
- ❖ Use of funds is restricted to PLN's U.S. dollar denominated tariff payments under PPA for **selected 7 renewable Sub-Projects (geothermal and hydroelectric power)**.
- ❖ The project enabled PLN to access medium-term credit from commercial lenders during COVID-19 pandemic.
- ❖ **MIGA cover:**
 - Up to 5 years
 - \$522.3m
 - Jan. 2021
 - Non-Honoring of Financial Obligation of a State-Owned Enterprise (PLN)



Lessons Learned & Challenges to Scale Up

The agility of MIGA's COVID response was important in delivering the support needed in a timely manner.

The MIGA-covered loan facility provides liquidity to fund PLN's working capital for tariff payments under the power purchase agreements to procure electricity from seven renewal energy subprojects. Support from MIGA will help to sustain these projects during the crisis and protect them during the consequent financial stress.

Sensitivities around pricing continue to be a challenge for SOE borrowers.

Before, during, and after the transaction, government entities expressed the need for parties in the transaction to be more sensitive to pricing. Going forward, structuring the right incentives will be important in these types of projects for MIGA to deliver the most development impact.

Case Study (2) PRI: Green project bond issuance draws new class of international institutional investors

Scatec, Egypt

- ❖ **Project:** Bond refinance of six solar projects (each 65MW)
- ❖ **Certified by Climate Bond Initiative**
- ❖ **Two tranche bond:** First tranche, \$84.5 million, subscribed by institutional investors, covered by MIGA's PRI and EBRD's Credit Enhancement Facility. Uncovered second tranche, \$250 million, subscribed by DFIs (EBRD, DFC, FMO, DEG).
- ❖ **MIGA cover:**
 - \$103.5 million
 - 19 years
 - Breach of Contract, Expropriation, Transfer Restriction and War and Civil Disturbances



Lessons Learned & Challenges to Scale Up

Supporting commercial take-out refinancing may provide headroom to MDBs.

By allowing EBRD to refinance its existing loans to the project with financing from institutional investors, MIGA's cover allowed EBRD to utilize the freed up headroom for other projects.

MIGA and EBRD's joint involvement helped unlock the capital markets.

The joint application of MIGA and EBRD's respective covers provided an attractive proposition to institutional investors, providing a 6-notch upgrade from the sovereign ratings level. Having said that, many institutional investors decided *not* to participate.

Structuring this transaction took *sustained effort and time* by both MIGA and EBRD.

Project took more than three years to come to fruition. Continuous dialogue with institutional investors was an important factor in unlocking this market. Further such projects will be time-consuming, complex and expensive to structure.

Case Study (3) PRI: Applying MIGA's covers to support Off-Grid Energy Solutions

BBOXX: Rwanda, Kenya, DRC

- ❖ **Project:** BBOXX Rwanda, Kenya, DRC
- ❖ US\$43M for equity, quasi-equity, SH loan and non-SH loans.
- ❖ The project supports **electrification in Rwanda, Kenya, and DRC** where grid electrification is either unavailable, unreliable, or cost-prohibitive.
- ❖ In this context, off-grid solar power generation solutions such as those provided by BBOXX enable household electrification using an environmentally and economically sustainable technology.
- ❖ **MIGA cover:**
 - \$43M
 - 5-10 years
 - Expropriation, Transfer Restriction and War and Civil Disturbance
- ❖ **IDA Private Sector Window:** MIGA's risk exposure under the guarantee is proposed to be shared with the IDA Private Sector Window ("PSW").



Lessons Learned & Challenges to Scale Up

Importance of innovation around product application

MIGA broadened its application of expropriation to include potential introduction of additional regulations and oversight to the largely unregulated solar home system industry in host countries, as well as BBOXX's planned expansion into other services.

Critical role of blended finance

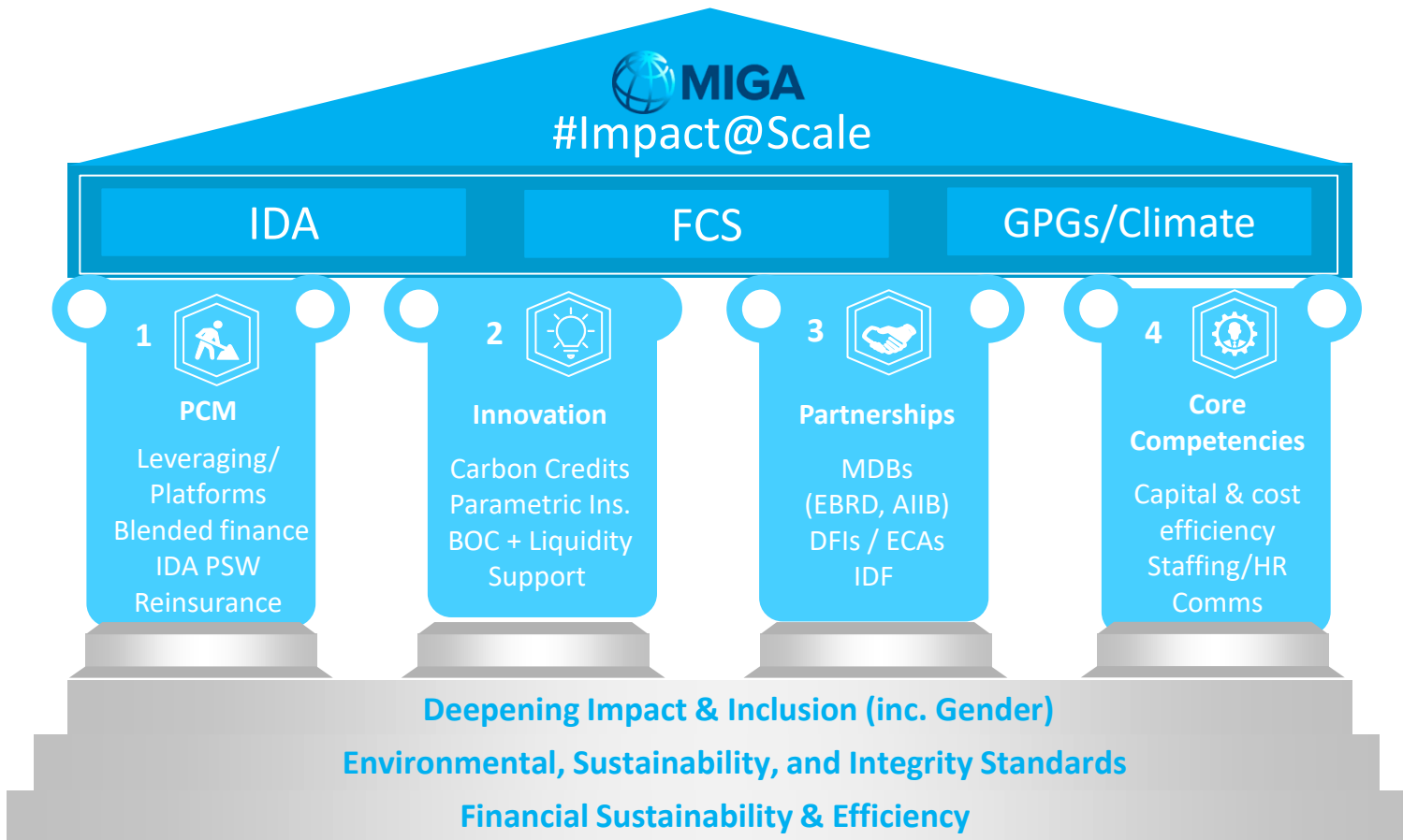
The involvement of IDA Private Sector Window (through MIGA Guarantee Facility) was crucial given the high risks of the transactions. IDA PSW is an example of a blended finance facility leveraging MIGA and private finance. More blended finance facilities may be needed.

Scaling up - Platforms vs. Projects

Three projects in three countries were presented around a common client, and common energy solution. Given off-grid solutions are typically smaller projects, it's important to use platforms to bring them to scale.

MIGA Medium Term Strategy

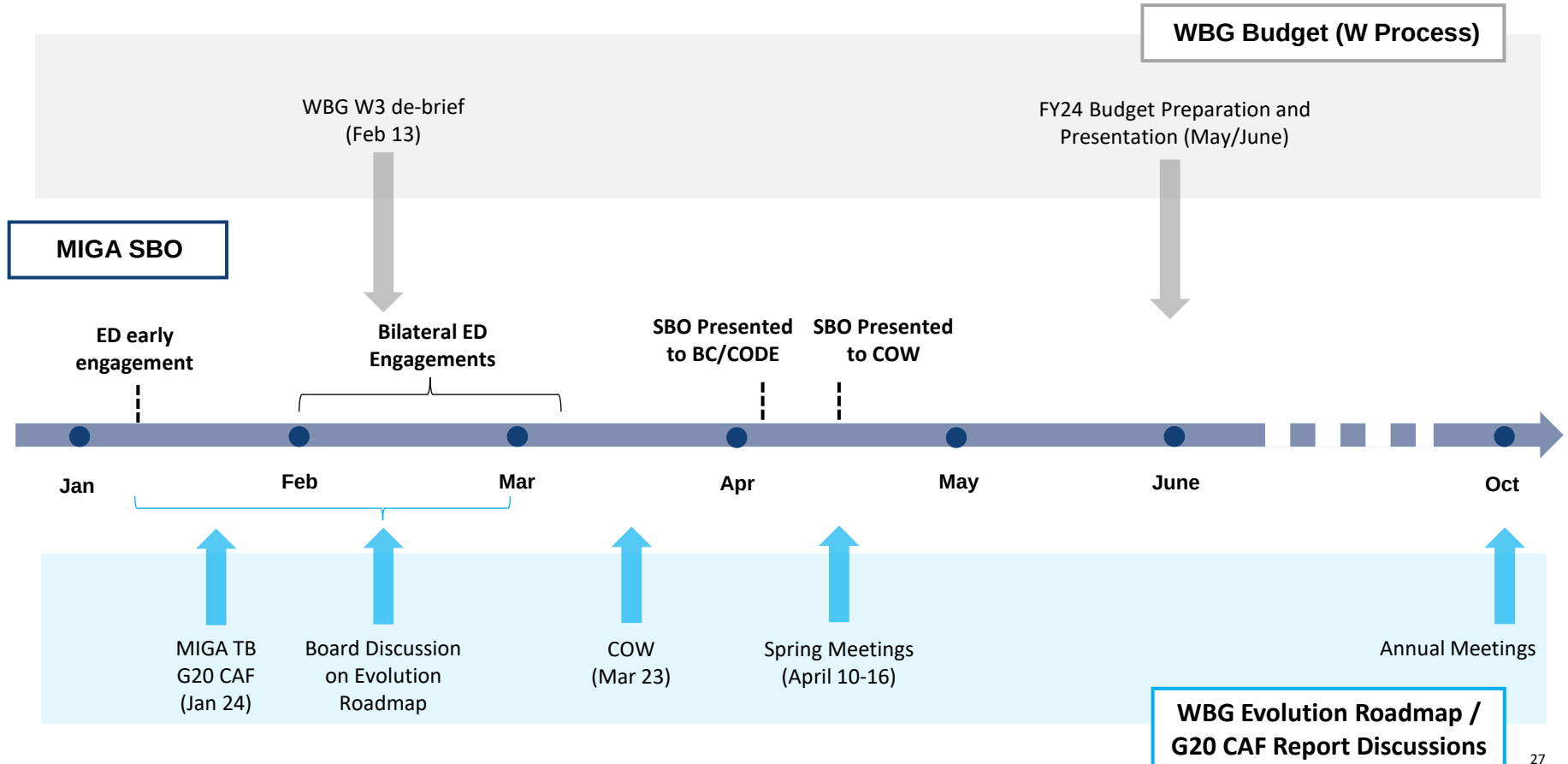
- Putting the component parts together



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Timeline for MIGA FY24-26 Strategy and engagement opportunities



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Some Questions for Discussion

I Is MIGA well positioned to respond to the global challenges and multiple crises?

II Is MIGA organized and resourced sufficiently to respond to these new challenges?

III Is MIGA's financial and non-financial risk appetite appropriate given its twin mandates?

IV How can MIGA continue to deepen collaboration with DFIs / MDBs to enhance its relevance?

V What new delivery mechanisms should MIGA consider for global and regional public goods?

VI How can MIGA ensure its FY24-26 strategy process responds to other on-going discussions?

